4.4.3 Advantages of Test Checking

Test checking can give the following advantages:

1. **Reduces Volume of Work:** The work of an auditor is reduced considerably as he checks only few transactions, extra time available can be utilised for concentrating on areas of considerable importance.
2. **Reduces Time and Cost:** Test checking is one of the technique which reduces time, cost and energy of both the auditor and the client.
3. **Quick Completion of Audit Work:** Test check enables the auditor to complete the work quickly as the auditor checks only a few or limited transactions.
4. **Effective means of Checking:** Test checking can be effective if the auditor selects the transaction to be checked carefully.
5. **Scientific Assessment of Risk:** The risk of material misstatement in the financial statement is assessed by the auditor in a scientific manner by drawing samples and studying them in detail.
6. **Serves as a Guide:** It serves as a guide for the auditor to arrive at conclusion regarding the true and fair view of the state of affairs of business.

4.4.4 Disadvantages of Test Checking

Test checking can give the following dsiadvantages:

1. **No Scientific Approach:** It is a traditional auditing technique where no scientific approach is used in selecting the samples, hence the results drawn on it tends to be incorrect.
2. **Risk cannot be measured:** It is not possible to measure the amount of risk involved.
3. **Complicated Transactions are not Checked:** The audit assistants select only simple transactions for checking and complicated transactions are left omitted.
4. **Carelessness of the Client's Staff:** The client's staff is aware that the auditor will not check all their work hence they become careless.
5. **Possibility of Errors and Frauds Remain Undetected:** When test check is adopted by the auditor there are possibility of errors and frauds left undetected.
6. **Unsuitable when there is no System of Internal Check:** The auditor cannot adopt test check when there is no proper system of Internal check and control in operation.
7. **Unsuitable for Small Business Concerns:** Test checking is not suitable for small business concerns as the number of transactions involved is not large.

Summary of Advantages and Disadvantages of Test Checking	
Advantages	**Disadvantages**
1. Reduces volume of work	1. No scientific approach
2. Reduces time and cost	2. Risk cannot be measured
3. Quick completion of audit work	3. Complicated transactions are not checked
4. Effective means of checking	4. Carelessness of the client's staff
5. Scientific assessment of risk	5. Possibility of errors and frauds remain undetected
6. Serves as a guide	6. Unsuitable when there is no proper system of internal check
	7. Unsuitable for small business concerns

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